Energy markets remain under pressure as hopes for a de-escalation in the Middle East reduce geopolitical risk premiums. Oil extended its losses as Gulf supply flows continued to recover, while European gas also moved lower




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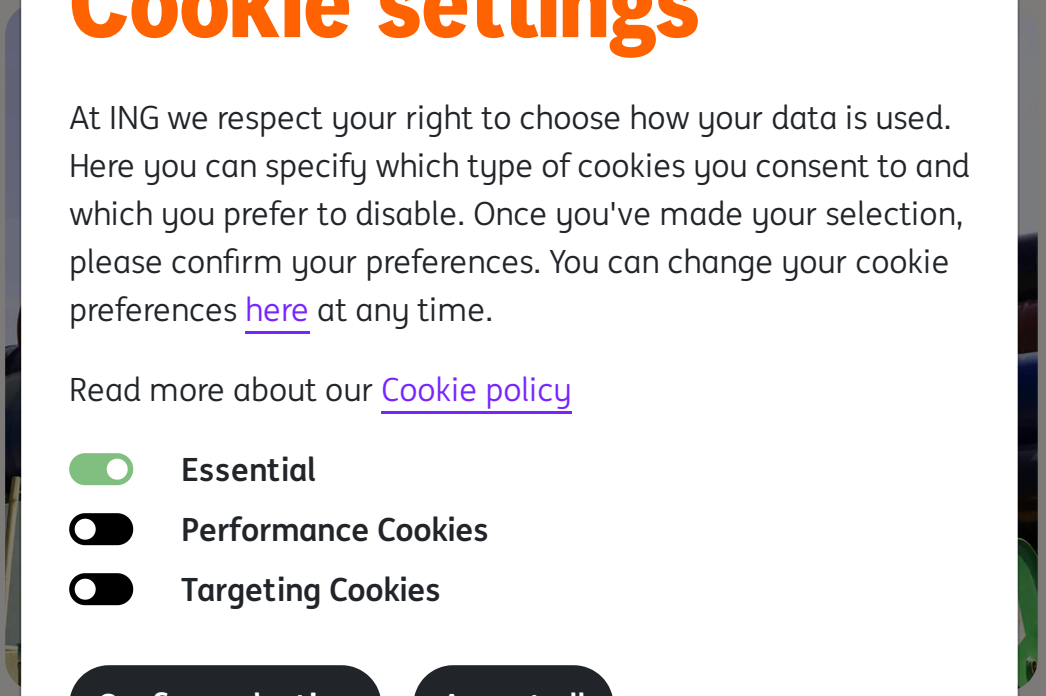
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Energy – Oil extends losses

Oil prices extended their decline on Tuesday, with Brent falling below $92/bbl and WTI trading around $86/bbl. The market has continued to unwind some of the geopolitical risk premium built into prices in recent weeks as expectations grow that the conflict between the US and Iran could move towards de-escalation.

Signs that regional oil flows are recovering have added to the downward pressure. Crude exports from the Persian Gulf are estimated to have returned to around 80-85% of pre-war levels, including pipeline volumes, while refined product shipments have recovered to roughly 35-40%. Reports that Iran may be softening

its position on control of the Strait of Hormuz have also reduced concerns over a prolonged disruption to one of the world's most important oil transit routes.

The improvement in regional flows is starting to show up in Chinese trade data. China's crude oil imports increased 13% month-on-month in October to around 42mt, or 9.9m b/d, helped by a recovery in shipments from the Persian Gulf and stronger Iraqi volumes. However, imports were still around 13% below year-ago levels, highlighting the lingering impact of the conflict on supply.

Away from the Middle East, disruption to energy infrastructure r
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US inventories increased by 77Bcf last week, slightly less than expected, taking total stocks to 3.801Tcf, around 2.8% below the same point last year.

European gas moved in the opposite direction, with front-month TTF trading around €81/MWh. Expectations for an easing of Middle East tensions have reduced concerns over energy flows through the Strait of Hormuz, taking some of the geopolitical premium out of European gas prices.

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Metals - Gold slips as rate expectations remain a headwind

Gold edged lower in early trading on Tuesday, with spot prices hovering around $4,100/oz as expectations for tighter US monetary policy continued to weigh on the market. The move follows Monday's rebound, when bullion benefited from a weaker dollar and a sharp fall in oil prices.

The prospect of another Federal Reserve rate hike remains the key near-term headwind for gold. Recent comments from Fed officials have maintained a relatively hawkish tone, while resilient US

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We remain constructive on gold over the medium term, with central bank buying and broader geopolitical uncertainty continuing to provide support. However, the prospect of higher US rates and renewed dollar strength could keep gold under pressure in the near term.

Commodities Feed

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